

Credit Facilities Overview

Learn what credit facilities are and how they work in the platform

Overview

A credit facility is a lending arrangement where a borrower can draw down funds as needed, up to a pre-approved limit. Think of it like a line of credit—you get approved for a maximum amount, and you can borrow portions of it when you need them, rather than receiving all funds at once. Credit facilities provide flexibility for borrowers while giving lenders control over fund disbursement.

What Credit Facilities Are

A credit facility is a flexible borrowing arrangement that allows borrowers to access funds incrementally rather than receiving everything upfront. Unlike traditional loans where you receive the full amount at once, credit facilities give you a pre-approved borrowing limit that you can draw from as needed. Each drawdown is a separate funding request that must be reviewed and approved before funds are disbursed.

Credit facilities involve multiple components working together: term sheets propose the facility, master commitments define the complete facility structure, funding requests request specific drawdowns, and funding notices document approved drawdowns. The facility remains active over time, supporting multiple drawdowns as long as you stay within approved limits.

Purpose and Use Cases

Credit facilities serve several important purposes:

For Flexible Borrowing - Borrowers can access funds as needed rather than receiving everything upfront. This provides flexibility to borrow only what's needed when it's needed, reducing unnecessary borrowing costs.

For Structured Lending - Lenders can provide capital through structured arrangements with proper oversight. Each drawdown is reviewed individually, ensuring compliance with facility rules and proper fund usage.

For Ongoing Relationships - Credit facilities support ongoing relationships between borrowers and lenders. Facilities remain active over time, allowing multiple drawdowns and continuous access to capital.

For Controlled Disbursement - Lenders maintain control over fund disbursement through individual drawdown approvals. This ensures proper oversight and compliance with facility terms.

For Capacity Management - Facilities track borrowing capacity, utilization, and available capacity, ensuring borrowers stay within approved limits and lenders can monitor exposure.

Key Components

Term Sheets - Initial proposals that borrowers create to request credit facilities. Term sheets outline key terms like maximum facility amount, interest rates, repayment terms, and other conditions. They must be signed electronically and submitted for facility agent review.

Master Commitments - Finalized credit facility agreements that define the complete facility structure. They're automatically created when term sheets are approved and contain all the rules, parameters, lender information, and borrowing base calculations needed to operate the facility.

Funding Requests - Specific requests to draw down funds from an active facility. Borrowers create funding requests when they need funds, specifying the amount, purpose, and providing supporting documentation. Each request must be reviewed and approved.

Funding Notices - Official documentation for each approved drawdown. They're automatically generated when funding requests are approved and contain details about the drawdown, token distribution to lenders, and fund transfer instructions.

Facility Rules - Rules that govern how the facility operates, including borrowing limits, collateral eligibility, drawdown frequency, repayment terms, and other requirements. These rules are defined in master commitments and enforced throughout the facility lifecycle.

Borrowing Base Calculations - Formulas and rules that determine how much you can borrow based on collateral, financial metrics, or other factors. Borrowing base calculations determine available borrowing capacity.

How Credit Facilities Work

Term Sheet Proposal - Borrowers create term sheets proposing credit facilities with key terms. Term sheets are signed electronically and submitted to facility agents for review. Facility agents can approve, reject, or request changes.

Master Commitment Creation - When term sheets are approved, master commitments are automatically created. Facility agents configure the complete facility structure, including facility rules, borrowing base calculations, lender groups, and other parameters.

FACILITY OPERATIONS

Create Master Commitment

Pending Term Sheets: 2

Alerts: 1 Breach

Configure Collateral Eligibility Rules

Rule Group 1: Loan Type Eligibility

☒ Residential Mortgages

Min FICO: 680 Max LTV: 80% Min Loan Amount: \$50,000

☒ Commercial Real Estate

Min FICO: 680 Max LTV: 80% Min Loan Amount: \$50,000

Rule Group 2: Geographic Restrictions

Cancel Apply

Create Master Commitment - Configure Collateral Eligibility Rules Modal

Lender Approval - After facility agents configure master commitments, lenders review and approve them. Any lender approval activates the facility, making it operational for funding requests.

Review Facility

Basic Parties & Accounts Economics & Fees Borrowing Base & Eligibility Covenants & Triggers Perfection & Legal Docs & Ratings

Facility ID: MC-12052025-1sr4

Facility Name: IN Credit Facility 1 - Lender 1

Origination Date: 09/24/2025

Effective Date: 09/24/2025

Facility Type: Warehouse Loan

Currency: USD

Commitment: 1450000

Governing Law: New York

Approve & E-Sign

Credit Facility - Lender Approve

Funding Requests - Once facilities are active, borrowers can create funding requests to draw down funds. Each request specifies the amount, purpose, and includes supporting documentation. Facility agents review requests for compliance and available capacity.

Funding Notice Generation - When funding requests are approved, funding notices are automatically generated. Facility agents generate tokens and sign notices for lenders. Borrowers approve token transfers, making notices visible to lenders.

Lender Review and Approval - Lenders review funding notices and approve or reject individual drawdowns. Each lender makes independent decisions, and participation is tracked individually.

Fund Disbursement - After lenders approve, they transfer funds and confirm transfers. Funds are disbursed to borrowers, completing the drawdown process.

Active Facilities View - The credit facility dashboard shows all active facilities, allowing you to view facility details, check borrowing capacity, and access funding request options.

FACILITY OPERATIONS

Overview

Pending Term Sheets: 2 Awaiting
Pending Master commitments: 1 Draft
Funding Requests: 3 Open
Alerts: 1 Breach

Inbox [Active Facilities](#) Refresh

Pool ID	Transaction Type	Pool Name	Asset Class	No. of Loans	Set-up On	Original Balance	Delinquency
222UAE16	Whole Loan Sale	Credibly Investors	Consumer Loans	24	18th Apr'22	\$8,230,540	28%
222UAE22	Securitization	UOWN	Business Loans	15	15th Apr'22	\$10,465,730	45%
222UAE8	Credit Facility	Credibly	Business Loans	6	15th Apr'22	\$2,039,280	34%
222UCE10	Whole Loan Sale	Credibly Investors	Consumer Loans	33	11th Apr'22	\$5,230,540	45%
222UCE11	Securitization	UOWN plan 2	Consumer Loans	18	7th Apr'22	\$12,465,730	34%
222UCE12	Credit Facility	Credibly	Business Loans	29	4th Apr'22	\$3,039,280	28%
222UCE13	Whole Loan Sale	UOWN plan 2	Consumer Loans	9	28th Mar'22	\$6,639,690	34%
222UCE14	Securitization	UOWN	Business Loans	36	28th Mar'22	\$1,239,430	45%
222UCE15	Credit Facility	Credibly Investors	Consumer Loans	21	26th Mar'22	\$10,210,750	34%
222UCE17	Whole Loan Sale	UOWN	Consumer Loans	16	15th Mar'22	\$4,426,170	45%
222UCE18	Securitization	UOWN	Business Loans	36	28th Mar'22	\$1,239,430	34%
222UCE19	Credit Facility	Credibly	Business Loans	29	4th Apr'22	\$3,039,280	45%

Credit Facility - Active Facilities Tab - Issuer

Important Points to Know

Flexible Drawdowns - Credit facilities allow borrowers to request specific amounts as needed, up to approved limits. Each drawdown is a separate funding request that must be reviewed and approved, providing flexibility while maintaining oversight.

Structured Approval Process - Each component requires appropriate approvals—term sheets need facility agent approval, master commitments need lender approval, and funding requests need facility agent and lender approval. This ensures proper oversight at each stage.

Automatic Generation - Master commitments are automatically created when term sheets are approved, and funding notices are automatically created when funding requests are approved. This streamlines the process and ensures consistency.

Individual Lender Tracking - Each lender's participation is tracked individually, allowing for independent decisions and flexible participation. Lenders can approve or reject individual drawdowns based on their own criteria.

Borrowing Capacity Management - Facilities track borrowing capacity, utilization, and available capacity, ensuring borrowers stay within approved limits. Available capacity is calculated based on facility rules and current utilization.

Multiple Drawdowns Over Time - You can create multiple funding requests over time as long as you stay within facility limits and available borrowing capacity. This provides ongoing access to capital throughout the facility term.

Complete Documentation - All facility activities are documented with complete audit trails, ensuring transparency and supporting compliance. Every action, approval, and status change is recorded.

Understanding credit facilities helps you effectively use this flexible borrowing tool, manage multiple drawdowns, work within the structured approval process, access funds when needed, and maintain proper oversight and control throughout the facility lifecycle.